Introduction to Business – MGT211
Short Notes By VU Nexus

Theme 8

Global Business Competition: Strategies and Challenges

Introduction to Global Trade

Global Trade means the **exchange of goods and services across international borders**.

It allows countries to **specialize** in products where they have a **competitive advantage** (competitive advantage = ability to produce at lower cost or better quality).

Example (Pakistan):
Pakistan **exports** textiles and rice and **imports** oil and machinery.

- **Exports:** Goods sold to other countries
- **Imports:** Goods bought from other countries

Importance of Global Trade:

- Expands **consumer choices**
- Reduces costs through **economies of scale**
  (economies of scale = lower cost due to large-scale production)
- Promotes **technology and cultural exchange**
- Improves **economic growth**

Theories of International Trade

1. Mercantilism (16th–18th Century)

- Focus on **trade surplus**
  (trade surplus = exports > imports)
- Maximize exports, minimize imports

- Used **high tariffs**
  (tariff = tax on imports)

2. Absolute Advantage (Adam Smith)

- Countries should produce goods they make **most efficiently**
- **Example:**
  Bangladesh → textiles
  Saudi Arabia → oil

3. Comparative Advantage (David Ricardo)

- Countries specialize in goods with **lowest opportunity cost**
  (opportunity cost = value of next best alternative)

Example:
Pakistan produces **rice** instead of electronics

4. Heckscher–Ohlin Theory

- Trade based on **resource abundance**
- **Labor-rich countries** export labor-intensive goods
- **Capital-rich countries** export machinery

Example:
Pakistan → textiles
Germany → machinery

5. Porter's Diamond Model (Michael Porter)

Competitive advantage depends on:

- **Factor conditions** (skilled labor, resources)
- **Demand conditions** (local customer demand)
- **Industry rivalry** (competition)

Example:
Japan's automobile industry

Modern Theory: Gravity Model

- Trade increases between **large economies** and **nearby countries**
- **Example:** European Union (EU)

Barriers to Global Trade

- **Tariffs & Quotas**
  (quota = limit on import quantity)
- **Subsidies**
  (subsidy = government financial support)
- **Technical Standards**
  (quality/safety rules)
- **Political Barriers**
  (sanctions = trade restrictions)
- **Cultural Differences**
  (language, symbols, preferences)

Pakistan-specific issues:

- Currency devaluation
  (devaluation = fall in currency value)
- Regional tensions (e.g., trade bans with India)

Strategies to Enhance Global Trade

1. **Trade Agreements**
    - **FTA** – *Free Trade Agreement*
    - **WTO** – *World Trade Organization*
    - **SAFTA** – *South Asian Free Trade Area*
2. **Infrastructure Development**

    - **CPEC** – *China–Pakistan Economic Corridor*
3. **Digital Trade**
    - E-commerce platforms (Alibaba, Daraz)
4. **Export Incentives**
    - **TDAP** – *Trade Development Authority of Pakistan*
5. **Currency Stability**
    - Stable exchange rates attract investment

Multinational Corporations (MNCs)

MNCs (Multinational Corporations) operate in **multiple countries**.

Positive Impacts:

- Job creation
- Technology transfer
- Infrastructure development

Example:
Nestlé dairy farms in Pakistan

Negative Impacts:

- Profit repatriation
  (repatriation = sending profits back to home country)
- Environmental damage
- Dominance over local firms

Countries manage this through **regulations** and **joint ventures**
(joint venture = partnership between local & foreign firms)

Emerging Trends in Global Competition

1. **Digital Transformation**
    - AI (Artificial Intelligence), e-commerce, remote work

2. **Sustainability**
    - Eco-friendly and green practices
3. **Supply Chain Resilience**
    - Reducing dependency after COVID-19
4. **Trade Wars**
    - Protectionist policies (high tariffs)
5. **Cultural Customization**
    - Adapting products to local culture
    - Example: Halal menus in Pakistan

Conclusion / Key Takeaways

- Global trade depends on **specialization and cooperation**
- Barriers include **tariffs, politics, and cultural gaps**
- Digital tools and sustainability improve competitiveness
- **Pakistan's focus areas:**
    - Infrastructure improvement
    - Export support
    - Ethical MNC investment

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